



MEMORANDUM

CN - No. 2025-0046

THE PHILIPPINE STOCK EXCHANGE, INC.

- | | |
|-------------------------------------|---|
| ☐ Trading | ☐ Public Advisory |
| ☐ Disclosure | ☐ Administrative/Technology Matters |
| ☐ Listing | ☒ Others: Proposed Rule Amendments |

TO : THE INVESTING PUBLIC AND MARKET PARTICIPANTS

SUBJECT : PROPOSED AMENDMENTS TO THE PSE BOARD LOT AND
RULE ON TRADING DURING RUN-OFF/TRADING-AT-LAST

DATE : December 15, 2025

The Exchange is inviting all interested parties to submit their comments on the proposed amendments to the PSE Board Lot and Rule on Trading during Run-Off/Trading-at-Last, as discussed in the attached Consultation Paper.

Comments may be sent to the Office of the General Counsel at ogc_list@pse.com.ph until December 31, 2025.

For your information and guidance.

(Original signed)
Ramon S. Monzon
President and CEO

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The Philippine Stock Exchange, Inc.

Consultation Paper

PROPOSED AMENDMENTS TO THE PSE BOARD LOT AND RULE ON TRADING DURING RUN-OFF/TRADING-AT-LAST

Disclaimer: This Consultation Paper is disseminated for the purpose of soliciting comments from the concerned stakeholders. The final version of the Rules may differ from the draft rules contained in this Consultation Paper.

I. Consultation Process

This Consultation Paper is circulated to give concerned stakeholders an opportunity to submit comments on the proposed amendments to the PSE Board Lot and Rule on Trading during Run-Off/Trading-at-Last.

Interested parties may submit their comments and requests for clarifications by e-mail to ogc_list@pse.com.ph until December 31, 2025.

II. Proposed Amendments

A. Revision of the Board Lot Structure and Removal of Rules on Odd Lot Market

1. Board Lot Structure for Peso-Denominated Securities

PSE will implement a One Lot One Share structure in line with the new trading engine which is scheduled to be rolled out in 2026. The new structure will standardize the minimum lot size for all securities to just one share, regardless of market price.

The proposed board lot will allow investors to trade a single share of a security and effectively reduce the minimum investment for any security to its market price, making stock market investing more affordable and accessible to retail investors.

To balance this with the interests of trading participants (“TPs”) which may find the revised board lot economically unviable and inconsistent with their business strategies (e.g., TPs with institutional clients only or TPs that will incur higher processing costs for multiple small value orders), TPs shall be allowed to impose a minimum order value as a condition to accepting clients’ orders, provided the TP shall not exceed the maximum commission rate under applicable laws and regulations.

In view of the foregoing, PSE proposes to amend Article IV, Section 8 of the Revised Trading Rules, as follows:

Existing	Proposed Amendment
SECTION 8. Board Lot and Price Fluctuation The Board Lot and Price Fluctuation of a Security for any Trading Day shall be based on the Security’s Reference Price. The minimum Price Fluctuation and Board Lot for Securities listed in the Exchange are the following:	SECTION 8. Board Lot and Price Fluctuation The Board Lot and Price Fluctuation of a Security for any Trading Day shall be based on the <u>given price range for the</u> Security’s Reference Price. The minimum Price Fluctuation and Board Lot for Securities listed in the Exchange are the following:

Price		Tick Size	Lot Size
From	To		
0.0001	0.0099	0.0001	1,000,000
0.0100	0.0490	0.0010	100,000
0.0500	0.2490	0.0010	10,000
0.2500	0.4950	0.0050	10,000
0.5000	4.9900	0.0100	1,000
5.0000	9.9900	0.0100	100
10.0000	19.9800	0.0200	100
20.0000	49.9500	0.0500	100
50.0000	99.9500	0.0500	10
100.0000	199.9000	0.1000	10
200.0000	499.8000	0.2000	10
500.0000	999.5000	0.5000	10
1000.0000	1999.0000	1.0000	5
2000.0000	4998.0000	2.0000	5
5000.0000	UP	5.0000	5

Price		Tick Size	Lot Size
From	To		
Up to 0.099		0.001	1
0.10	0.995	0.005	1
1	9.99	0.01	1
10	99.95	0.05	1
100	199.90	0.10	1
200	499.80	0.20	1
500	999.50	0.50	1
1,000	1,999	1	1
2,000	4,998	2	1
5,000	and up	5	1

Trading Participants, at their discretion, may impose a minimum order value as a condition to accepting clients' orders, provided the Trading Participant shall not exceed the maximum commission rate under applicable laws and regulations.

2. Board Lot Structure for Dollar Denominated Securities ("DDS")

To align the board lot structure across all PSE listed securities, PSE also proposes to amend Part C, Section 1.a of the Rules on DDS, as follows:

Existing	Proposed Amendment																																				
SECTION 1. Trading Dollar Denominated Securities	SECTION 1. Trading Dollar Denominated Securities																																				
a. Board Lot and Price Fluctuation – The Board Lot and Price Fluctuation of a DDS for any Trading Day shall be based on the Reference Price.	a. Board Lot and Price Fluctuation – The Board Lot and Price Fluctuation of a DDS for any Trading Day shall be based on the Reference Price <u>given price range for the security</u> .																																				
The minimum Price Fluctuation and Board Lot for DDS listed in the Exchange are the following:	The minimum Price Fluctuation and Board Lot for DDS listed in the Exchange are the following:																																				
<table><tr><th colspan="2">Price (in USD)</th><th rowspan="2">Tick Size (in USD)</th><th rowspan="2">Lot Size</th></tr><tr><th>From</th><th>To</th></tr><tr><td>DOWN</td><td>0.99</td><td>0.01</td><td>100</td></tr><tr><td>1.00</td><td>4.99</td><td>0.01</td><td>20</td></tr><tr><td>5.00</td><td>9.99</td><td>0.01</td><td>10</td></tr></table>	Price (in USD)		Tick Size (in USD)	Lot Size	From	To	DOWN	0.99	0.01	100	1.00	4.99	0.01	20	5.00	9.99	0.01	10	<table><tr><th colspan="2">Price (in USD)</th><th rowspan="2">Tick Size (in USD)</th><th rowspan="2">Lot Size</th></tr><tr><th>From</th><th>To</th></tr><tr><td colspan="2"><u>Up to 9.99</u></td><td><u>0.01</u></td><td><u>1</u></td></tr><tr><td><u>10</u></td><td><u>19.98</u></td><td><u>0.02</u></td><td><u>1</u></td></tr><tr><td><u>20</u></td><td><u>99.95</u></td><td><u>0.05</u></td><td><u>1</u></td></tr></table>	Price (in USD)		Tick Size (in USD)	Lot Size	From	To	<u>Up to 9.99</u>		<u>0.01</u>	<u>1</u>	<u>10</u>	<u>19.98</u>	<u>0.02</u>	<u>1</u>	<u>20</u>	<u>99.95</u>	<u>0.05</u>	<u>1</u>
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10.00	19.98	0.02	10	<u>100</u>	<u>199.90</u>	<u>0.10</u>	<u>1</u>
20.00	49.95	0.05	10	<u>200</u>	<u>499.80</u>	<u>0.20</u>	<u>1</u>
50.00	99.95	0.05	5	<u>500</u>	<u>999.50</u>	<u>0.50</u>	<u>1</u>
100.00	199.90	0.10	5	<u>1,000</u>	<u>and up</u>	<u>1</u>	<u>1</u>
200.00	499.80	0.20	5	<u>TPs, at their discretion, may impose a minimum order value as a condition to accepting clients' orders, provided the TP shall not exceed the maximum commission rate under applicable laws and regulations.</u>			
500.00	999.50	0.50	5				
1,000.00	UP	1.00	5				

3. Removal of Odd Lot Market

Given that the regular lot size for all securities will be one share, PSE will no longer operate an Odd Lot Market. All orders will be matched on the normal market in the new trading engine. Therefore, all references to the Odd Lot Market will be removed from the relevant PSE regulations.

B. Proposed Amendments to the Rule on Run-Off/Trading-at-Last

In connection with the upgrade of PSE's trading infrastructure to Nasdaq Eqlipse Trading, PSE and Nasdaq conducted a detailed gap analysis to identify the differences between Nasdaq Eqlipse Trading, PSEtrade XTS which is the trading solution used by PSE at present, and PSE's functional, non-functional, operational and regulatory requirements.

One of the gaps identified is the conduct of trading during the Run-Off/Trading-at-Last period. Currently, the PSEtrade XTS automatically rejects an incoming order during the Run-Off/Trading-at-Last period if the price of the counterpart passive order in the order book is better than the established Closing Price for the Security.

With Nasdaq Eqlipse Trading, the incoming order will be accepted by the trading engine provided it is at the Closing Price, and the counterpart passive order will be matched with the incoming order at the Closing Price. This will allow investors to post at Closing Price notwithstanding the price of the counterpart passive orders; hence, allowing more trading activities. Those who placed the passive orders will not be disadvantaged if order is executed at the Closing Price.

Below are scenarios which illustrate the current and proposed implementation:

Scenario 1: Selling price is lower/better than the Closing Price

1a. Current implementation

ABC Corporation			
Symbol: ABC		Closing Price: 10.00	
BUY		SELL	
Volume	Price	Price	Volume
1,000	8.90	9.00	2,000
2,000	8.80		

Incoming buy order: 2,000 ABC shares @ Php10.00

Buy order will not be accepted by the trading engine because the counterpart sell order is lower/better than the Closing Price.

1b. Proposed implementation

ABC Corporation			
Symbol: ABC		Closing Price: 10.00	
BUY		SELL	
Volume	Price	Price	Volume
2,000	10.00	9.00	2,000
1,000	8.90		
2,000	8.80		

Incoming buy order: 2,000 ABC shares @ Php10.00

Buy order will be accepted by the trading engine and will be matched with the counterpart passive sell order at the Closing Price. Seller will not be disadvantaged because it is able to sell at a higher price than its original offer.

Time	Trade no.	Volume	Price
13:30:00	1	1,000	10.24
14:52:00	2	2,000	10.00

Scenario 2: Buying price is higher/better than the Closing Price

2a. Current implementation

DEF Corporation			
Symbol: DEF		Closing Price: 10.00	
BUY		SELL	
Volume	Price	Price	Volume
2,000	11.00	12.00	1,000
1,000	10.90	12.10	2,000

Incoming sell order: 2,000 DEF shares @ Php10.00

Sell order will not be accepted by the trading engine because the counterpart buy order is higher/better than the Closing Price.

2b. Proposed implementation

DEF Corporation			
Symbol: DEF		Closing Price: 10.00	
Volume	Price	Price	Volume
2,000	11.00	10.00	2,000
1,000	10.90	12.00	1,000
		12.10	2,000

Incoming sell order: 2,000 DEF shares @ Php10.00

Sell order will be accepted by the trading engine and will be matched with the counterpart passive buy order at the Closing Price. Buyer will not be disadvantaged because it is able to buy at a lower price than its original bid.

Time	Trade no.	Volume	Price
13:30:00	1	1,000	10.24
14:55:00	2	2,000	10.00

To reflect this new functionality, PSE proposes to amend Article IV, Section 18 of the Revised Trading Rules as follows:

Current Rule	Proposed Amendment
SECTION 18. Trading during Run-Off/Trading-at-Last Period All Orders during the Run-Off/Trading-at-Last Period are executed only at the Closing Price. In cases where prices of posted Orders in the Order book are better than the Closing Price, no Orders will be accepted by the Trading System.	SECTION 18. Trading during Run-Off/Trading-at-Last Period All Orders during the Run-Off/Trading-at-Last Period are <u>can be entered, modified, and</u> executed only at the Closing Price. In cases where prices of posted Orders in the Order book are better than the Closing Price, no Orders will be accepted by the Trading System.